Ch 6 Potential Quiz and Module 2 Exam Answers

A subset of these questions will appear on the Chapter 6 Quiz.

Quizzes are 30 minutes long and have 20 points.

A (probably different) subset of these questions will also appear on the Module 2 Exam, with questions from the Ch 6 and Ch 7/8 Quiz lists together making up at least half the points on the Module 2 Exam (i.e. at least 25 out of 50 points)

You should not expect Quiz or Exam questions to appear in the same order as in this document, nor should you expect the options for the answers to appear in the same order as in this document.

The remining 50% of Module 2 Exam questions will be rephrasing or recombination of topics listed either in this document, in the Chapter 7/8 Potential Quiz questions, or the Ask Your Neighbor questions from class.

Questions are organized below into "pools" of similar questions; for each question it is shown how many points each of those questions would be worth should the question appear on the exam.

Answers are included for non-numeric questions in this document, but you should not count on being able to memorize an answer key for the exam, and you will not be allowed access to notes during the exam. You are strongly encouraged to form study groups to prepare for the exam, and you are encouraged to ask Gwen if you don't understand any concepts that are in this study sheet.

Pool 1: Shocks to UI benefits. Worth 3 points (each variable worth ½ point)

1. Using the 2-sided search model from Chapter 6, a decrease in Unemployment Insurance benefits (b) would be expected to cause

real wages to [*increase/**decrease**/stay the same/change ambiguously*]

the labor force to [*increase/decrease/stay the same/**change ambiguously***]

employment to [*increase/decrease/stay the same/**change ambiguously***]

the number of job openings to [*increase/decrease/stay the same/**change ambiguously***]

the unemployment rate to [*increase/**decrease**/stay the same/change ambiguously*]

and GDP to [*increase/decrease/stay the same/**change ambiguously***]

2. Using the 2-sided search model from Chapter 6, an increase in Unemployment Insurance benefits (b) would be expected to cause

real wages to [***increase**/decrease/stay the same/change ambiguously*]

the labor force to [*increase/decrease/stay the same/**change ambiguously***]

employment to [*increase/decrease/stay the same/**change ambiguously***]

the number of job openings to [*increase/decrease/stay the same/**change ambiguously***]

the unemployment rate to [***increase**/decrease/stay the same/change ambiguously*]

and GDP to [*increase/decrease/stay the same/**change ambiguously***]

Pool 2: TFP shocks. Worth 3 points (each variable worth ½ point)

1. Using the 2-sided search model from Chapter 6, a decrease in the Solow Residual would be expected to cause

real wages to [*increase/**decrease**/stay the same/change ambiguously*]

the labor force to [*increase/**decrease**/stay the same/change ambiguously*]

employment to [*increase/**decrease**/stay the same/change ambiguously*]

the number of job openings to [*increase/**decrease**/stay the same/change ambiguously*]

the unemployment rate to [***increase**/decrease/stay the same/change ambiguously*]

and GDP to [*increase/**decrease**/stay the same/change ambiguously*]

2. Using the 2-sided search model from Chapter 6, an increase in the Solow Residual would be expected to cause

real wages to [***increase**/decrease/stay the same/change ambiguously*]

the labor force to [***increase**/decrease/stay the same/change ambiguously*]

employment to [***increase**/decrease/stay the same/change ambiguously*]

the number of job openings to [***increase**/decrease/stay the same/change ambiguously*]

the unemployment rate to [*increase/**decrease**/stay the same/change ambiguously*]

and GDP to [***increase**/decrease/stay the same/change ambiguously*]

Pool 3: k shocks. Worth 3 points (each variable worth ½ point)

1. Using the 2-sided search model from Chapter 6, a decrease in the cost of capital (k) would be expected to cause

real wages to [*increase/decrease/**stay the same**/change ambiguously*]

the labor force to [***increase**/decrease/stay the same/change ambiguously*]

employment to [***increase**/decrease/stay the same/change ambiguously*]

the number of job openings to [***increase**/decrease/stay the same/change ambiguously*]

the unemployment rate to [*increase/**decrease**/stay the same/change ambiguously*]

and GDP to [***increase**/decrease/stay the same/change ambiguously*]

2. Using the 2-sided search model from Chapter 6, an increase in the cost of capital (k) would be expected to cause

real wages to [*increase/decrease/**stay the same**/change ambiguously*]

the labor force to [*increase/**decrease**/stay the same/change ambiguously*]

employment to [*increase/**decrease**/stay the same/change ambiguously*]

the number of job openings to [*increase/**decrease**/stay the same/change ambiguously*]

the unemployment rate to [***increase**/decrease/stay the same/change ambiguously*]

and GDP to [*increase/**decrease**/stay the same/change ambiguously*]

Pool 4: Match efficiency shocks. Worth 3 points (each variable worth ½ point)

1. Using the 2-sided search model from Chapter 6, a decrease in search efficiency would be expected to cause

real wages to [*increase/decrease/**stay the same**/change ambiguously*]

the labor force to [*increase/**decrease**/stay the same/change ambiguously*]

employment to [*increase/**decrease**/stay the same/change ambiguously*]

the number of job openings to [*increase/**decrease**/stay the same/change ambiguously*]

the unemployment rate to [***increase**/decrease/stay the same/change ambiguously*]

and GDP to [*increase/**decrease**/stay the same/change ambiguously*]

2. Using the 2-sided search model from Chapter 6, an increase in search efficiency would be expected to cause

real wages to [*increase/decrease/**stay the same**/change ambiguously*]

the labor force to [***increase**/decrease/stay the same/change ambiguously*]

employment to [***increase**/decrease/stay the same/change ambiguously*]

the number of job openings to [***increase**/decrease/stay the same/change ambiguously*]

the unemployment rate to [*increase/**decrease**/stay the same/change ambiguously*]

and GDP to [***increase**/decrease/stay the same/change ambiguously*]

Pool 5: Shocks to worker's share of match surplus. Worth 3 points (each variable worth ½ point)

1. Using the 2-sided search model from Chapter 6, a decrease in worker bargaining power (lower unionization rates) would be expected to cause

real wages to [*increase/**decrease**/stay the same/change ambiguously*]

the labor force to [*increase/decrease/stay the same/**change ambiguously***]

employment to [*increase/decrease/stay the same/**change ambiguously***]

the number of job openings to [*increase/decrease/stay the same/**change ambiguously***]

the unemployment rate to [*increase/**decrease**/stay the same/change ambiguously*]

and GDP to [*increase/decrease/stay the same/**change ambiguously***]

2. Using the 2-sided search model from Chapter 6, an increase in worker bargaining power (higher unionization rates) would be expected to cause

real wages to [***increase**/decrease/stay the same/change ambiguously*]

the labor force to [*increase/decrease/stay the same/**change ambiguously***]

employment to [*increase/decrease/stay the same/**change ambiguously***]

the number of job openings to [*increase/decrease/stay the same/**change ambiguously***]

the unemployment rate to [***increase**/decrease/stay the same/change ambiguously*]

and GDP to [*increase/decrease/stay the same/**change ambiguously***]

Pool 6: Each worth 1 point

1. In the two-sided search model from class, productivity shocks are _____ at explaining counter-cyclical fluctuations in unemployment because _____
A. good; as z decreases we move down and to the right along the Beveridge curve
B. good; as z increases we move down and to the right along the Beveridge curve
C. bad; as z increases we move down and to the right along the Beveridge curve
D. bad; as z decreases we move down and to the right along the Beveridge curve
Answer: A

2. All other things being equal, "Work from Home" opportunities would more likely cause it to be easier for workers and firms to match, resulting in a _____ shift in the Beveridge Curve and _____ in GDP.
A. leftward; a decrease
B. rightward; an increase
C. leftward; an increase
D. rightward; a decrease
Answer: C

3. In the two-sided search equilibrium from Chapter 6, firms make _____ profits after matching with workers.
A. positive
B. zero
C. negative
D. ambiguous
Answer: A

4. In the two-sided search model from Chapter 6, if b>z,
A. the minimum wage is too high.
B. employment will be zero.
C. workers will have more bargaining power than firms.
D. firms will earn positive profits.
Answer: B

5. US labor force participation-rate data are
A. pro-cyclical.
B. counter-cyclical.
C. neither pro- nor counter-cyclical.
D. impossible to measure.
Answer: A

6. Consider the two-sided matching model and notation from Chapter 6. If firms expect to make positive profits, then

A. wages will increase until expected profits are zero.
B. cost k will increase until expected profits are zero.
C. the labor force Q will increase until expected profits are zero.
D. market tightness j will increase until expected profits are zero.

Answer: D

7. Consider the two-sided search model from class. Why do workers have to search for jobs?

A. It takes time for government to process the unemployment benefit application.
B. It takes time to find a good job "match".
C. It takes time to get a college degree.
D. There are inter-generational human capital externalities.

Answer: B

8. Consider the two-sided search model from class. Which of the following is NOT true?

A. There is equilibrium unemployment.
B. Wage is set to be equal to MPN.
C. Firm profits are zero on expectation.
D. Increases in unemployment benefits always increase the unemployment rate.

Answer: B

9. In the two-sided search model, a decrease in matching efficiency

A. has no effect on firms because k/(1-a)(z-b) is unchanged.
B. reduces worker bargaining power over the wage.
C. reduces GDP.
D. all of these things

Answer: C

10. In the Nash Bargaining solution from Chapter 6:

A. Firms get half of the worker's surplus.
B. Firms pay the marginal productivity of labor.
C. Firms pay no more than the value of continued search, which is the unemployment benefit.
D. None of these things.

Answer: D

11. Consider the two-sided search model from class. Assume that M is the aggregate number of matches, e is the matching efficiency, m(Q,A) is the matching function, Q is the number of labor force participants searching for jobs and A is the number of vacancies. What is the probability of finding a job for a labor market participant?

A. em(Q,A)/Q
B. em(Q,A)/A
C. em(Q,A)/M
D. e/m(Q,A)

Answer: A

12. Which of the following statements is true about the 2-sided search model from class?

A. Unemployment is the efficient outcome of market forces, but employment is not.
B. Employment is the efficient outcome of market forces, but unemployment is not.
C. Both employment and unemployment are the efficient outcomes of market forces.
D. The model equilibrium does not satisfy the First Welfare Theorem.

Answer: D

13. What are the effects on GDP of introducing a minimum wage that is above the Nash-bargaining wage?

A. GDP increases.
B. GDP decreases.
C. GDP remains the same.
D. The effect on GDP is ambiguous.

Answer: D